

June 7, 2026

Vanessa A. Countryman, Secretary
Securities and Exchange Commission
100 F Street NE
Washington, DC 20549-1090

Re: File No. S7-2026-15 — Semiannual Reporting (Proposed Rule)

Dear Secretary Countryman:

I am a Certified Public Accountant with eleven years of practice specializing in partnership taxation, complex syndicated structures, and high-net-worth client advisory work. I submit these comments in my individual professional capacity, in response to the Commission's invitation for public comment on the proposed amendments to allow optional semiannual interim reporting on new Form 10-S in lieu of quarterly reporting on Form 10-Q.

I oppose the adoption of the proposed rule as presented. My opposition is not to the concept of reducing unnecessary compliance burden on reporting companies. It is to the specific mechanism chosen and to the predictable pattern of who will elect it, and at whose expense.

I. The Framing of This Proposal as a Burden-Reduction Measure Obscures Its Investor Protection Costs

The proposing release frames optional semiannual reporting primarily as a compliance cost reduction for reporting companies. That framing is accurate as far as it goes. What it does not adequately address is the asymmetric distribution of who absorbs the cost of that reduction.

Quarterly reporting under Form 10-Q is not merely an accounting exercise. It is one of the few remaining structural mechanisms through which the investing public, not institutional analysts with direct management access, not sell-side desks with proprietary data feeds, obtains standardized, filed, legally accountable financial information about the companies whose securities they hold.

The Commission asks in its economic analysis whether semiannual reporting would meaningfully affect the information environment for different classes of investors. The answer, in my professional judgment, is yes, and not symmetrically. Institutional

investors have the resources, access, and analytical capacity to construct a reasonable picture of a company's financial condition from earnings releases, management guidance, 8-K filings, and alternative data sources. Retail investors largely do not. For retail participants, the Form 10-Q is the disclosure, not a supplement to it.

Reducing the frequency of that disclosure from three times annually to once does not eliminate the information gap between institutional and retail investors. It widens it.

II. The "Optional" Structure Will Not Produce Neutral Outcomes

The Commission has characterized the proposal as optional, with each company electing the reporting frequency that best serves its circumstances and investors. In theory, this is neutral. In practice, it is not.

The Commission's own analysis identifies smaller, development-stage, and speculative-growth companies as the likely adopters of semiannual reporting, specifically because quarterly reporting imposes relatively higher fixed costs on these companies relative to their size, and because their investors are characterized as focused on non-financial milestones rather than interim financial results.

This characterization should concern the Commission. Smaller and development-stage companies are precisely the issuers in which retail investors are most concentrated and least protected by alternative information sources. These are not the companies with robust analyst coverage, active investor relations programs, or frequent management access for large shareholders. They are the companies whose retail shareholders are most dependent on filed financial disclosures as their primary source of material information.

An optional rule that predictably concentrates in the issuer segment where retail investors are most exposed is not a neutral flexibility measure. It is a structural reduction in the information rights of the investors least positioned to compensate.

III. Earnings Releases Are Not an Adequate Substitute for Filed Quarterly Reports

The Commission acknowledges in the proposing release that companies electing semiannual reporting may continue to issue quarterly earnings releases, and asks whether this practice would mitigate investor information concerns. I submit that it would not, and that this question reflects a conflation of furnished disclosure with filed disclosure that warrants direct address.

Quarterly earnings releases are furnished, not filed. They are not subject to the same liability framework as Form 10-Q. A company that furnishes an earnings release and later files a Form 10-S that tells a materially different story has not violated the same set of obligations as a company that files a deficient quarterly report. The accountant review requirement, which currently applies to interim financial statements included in Form 10-Q under PCAOB AS 4105, does not apply to furnished earnings releases.

Permitting a semiannual filer to satisfy its interim disclosure obligations through voluntary, unreviewed, furnished releases, while characterizing the total disclosure

environment as substantially equivalent to quarterly reporting, overstates the investor protection value of that arrangement. The legal accountability structure is not equivalent. The quality assurance framework is not equivalent. Framing voluntary practice as a substitute for mandatory obligation is not a sound basis for rule adoption.

There is a further consequence of reduced disclosure frequency that the proposing release does not adequately address: the concentration of material nonpublic information exposure into longer and fewer windows. Under the current quarterly framework, the period during which insiders possess material information that has not yet been publicly filed is bounded by a 40 or 45-day reporting deadline. Semiannual reporting doubles that window by definition. For companies that also cease issuing quarterly earnings releases upon electing semiannual reporting, the extension of that window is not merely administrative, it creates a structurally longer period during which the gap between what insiders know and what the market can price is at its maximum.

The practical consequences include longer mandatory blackout periods, increased complexity in administering Rule 10b5-1 trading plans, and heightened Regulation FD exposure at investor conferences and analyst meetings occurring in the months between filed disclosures. These are not theoretical concerns for practitioners advising reporting companies. They are the operational reality of a reduced-cadence disclosure environment, and they fall asymmetrically on retail investors who have no alternative channel through which to access the information insiders hold.

IV. The Foreign Private Issuer Comparison Does Not Support Generalization

Proponents of this proposal have cited the experience of foreign private issuers, which are not subject to Form 10-Q requirements and operate on semiannual interim reporting, as evidence that reduced reporting frequency is compatible with functional capital markets.

This comparison has significant limitations. Foreign private issuers operate within home-country regulatory frameworks that in many cases provide structural investor protections not present in the U.S. system for the issuer categories most likely to elect semiannual reporting here. The applicable disclosure regimes, liability standards, shareholder rights structures, and alternative information environments differ materially. Drawing a direct equivalence between the FPI experience and the likely experience of U.S. domestic small-cap and development-stage issuers electing Form 10-S does not follow from the comparative evidence.

V. The Public Trust Dimension

I want to raise a concern that falls outside the Commission's standard cost-benefit framework but is, in my view, material to the policy judgment here.

Public markets function on the premise that participation is accessible to the public, not just to participants with the resources, access, and analytical infrastructure to construct their own information picture independent of mandatory disclosure. The Commission's periodic reporting requirements are part of the structural infrastructure that supports that

premise. They are not merely compliance costs. They are part of what makes a public market public.

At a moment when retail investor participation in public markets is at historically high levels, and when public confidence in the fairness of those markets is not. The Commission should be cautious about rule changes that structurally reduce the information available to the investors least equipped to compensate through private means. The compliance cost savings to issuers are real. The cost to the information environment of retail investors is also real, and it falls on a different population than the one that captures the benefit.

This is not an argument that compliance costs do not matter. It is an argument that the Commission should weigh that trade-off explicitly, rather than treating investor protection concerns as adequately addressed by the voluntary continuation of practices that are structurally and legally inferior to the mandatory disclosures they would replace.

VI. Reduced Interim Controls Cadence in an Era of AI-Assisted Financial Reporting

The Commission's proposal arrives at a moment when AI-assisted tools are being deployed at scale across financial reporting functions: in reconciliations, variance analysis, disclosure drafting, and internal control monitoring. This context is material to the controls cadence question, and I submit that it weighs against reducing interim reporting frequency.

Section 302 of the Sarbanes-Oxley Act requires CEO and CFO certification of financial statements and disclosure controls at each interim and annual filing. Under the current quarterly framework, that certification cycle occurs three times annually before the annual Form 10-K. It functions not only as a legal accountability mechanism but as a forcing function: it requires management to affirmatively evaluate the integrity of financial reporting processes on a regular, defined cadence. Reducing that cadence to once annually, with a single interim checkpoint, does not eliminate the statutory obligation. It materially reduces the frequency with which that obligation requires active management attention.

This matters more, not less, as AI-assisted tools take on larger roles in financial reporting workflows. The reliability of AI-assisted processes is not static. Model behavior can degrade between evaluation points through updates, configuration changes, or drift in the underlying data environment without generating the kind of visible failure signal that would prompt unscheduled management review. A quarterly certification cadence creates regular, mandatory human verification checkpoints in a process that is otherwise increasingly automated. Semiannual reporting removes two of those checkpoints per year.

This is not a theoretical concern. Documented failures in AI-assisted processes, including in high-stakes professional contexts, share a common feature: the failure accumulated between evaluation points, in the intervals where no mandatory human review was required. Reducing the number of those intervals in financial reporting does

not reduce the risk of AI-assisted error. It extends the window in which such errors can propagate undetected before a required certification forces review.

The Commission's proposal does not address this dynamic. The proposing release does not analyze the interaction between reduced reporting frequency and the expanding role of automated tools in financial reporting processes. I urge the Commission to solicit comment specifically on this question before finalizing any rule, and to consider whether companies electing semiannual reporting should be required to disclose the extent to which AI-assisted tools are used in financial reporting functions, and what human verification controls are in place in the absence of the quarterly certification cadence.

VII. Disclosure Quality, the Transparency Premium, and Foreign Capital Allocation

The Commission frames this proposal as a competitiveness measure, reducing compliance burden to encourage more companies to go and remain public, thereby strengthening U.S. capital markets relative to international peers. I submit that this framing inverts the actual competitiveness dynamic and that the Commission has not adequately analyzed the risk that reduced disclosure quality could impair, rather than enhance, the ability of U.S. public markets to attract and retain foreign institutional capital.

U.S. public equity markets have historically commanded a valuation premium relative to comparable international markets. That premium is not solely a function of economic size or liquidity. It reflects, in part, a disclosure infrastructure: quarterly GAAP financials, accountant review, SOX certification, and EDGAR accessibility that provides foreign institutional allocators with a standardized, legally accountable information environment they cannot replicate through private channels. That infrastructure is part of what makes U.S. equities a default allocation for global capital, particularly at the institutional level.

The proposal does not eliminate that infrastructure for quarterly filers. But it introduces a class of domestic issuers for whom that infrastructure is materially reduced and it does so without any disclosure requirement that would allow a foreign institutional allocator to identify, at the portfolio level, which of their U.S. equity holdings operate under the reduced framework. An allocator running a U.S. small-cap sleeve would need to check the cover page of each issuer's most recent Form 10-K to determine whether that issuer is subject to quarterly or semiannual reporting obligations. That is not a workable disclosure environment for cross-border capital allocation at scale.

The Commission's proposing release does not analyze this dynamic. It does not estimate the share of foreign institutional capital currently allocated to domestic issuers in the size and stage categories most likely to elect semiannual reporting, nor does it model the reallocation risk if those issuers are perceived as operating under a structurally weaker disclosure standard than their international counterparts in comparable markets. Treasury desks at reporting companies have already identified this risk directly: the operative concern is whether investors will continue to purchase securities from issuers whose most recent filed financial statements are six months old

at the time of a capital markets transaction. That concern is not hypothetical. It is the question debt and equity underwriters will have to answer for every semiannual filer that accesses the capital markets.

The Commission should not assume that reducing compliance burden on issuers translates automatically into stronger markets. If the disclosure reduction causes even a modest reallocation of foreign institutional capital away from the issuer categories most likely to elect semiannual reporting, the net effect on capital formation in those categories may be negative, not positive. That analysis is absent from the proposing release, and the Commission should conduct it before finalizing any rule.

VIII. Index Standard Fragmentation as a Leading Indicator

The Commission's proposal arrives against a backdrop of accelerating fragmentation in the standards applied by major index providers to listing eligibility and index inclusion: fragmentation that is itself producing the kind of retail investor comparability failure the Commission's disclosure rules exist to prevent. This fragmentation is directly relevant to the question of what semiannual reporting will mean in practice for investors trying to understand the composition of the index products they hold.

The recent SpaceX IPO process illustrates the dynamic. When SpaceX and its advisers sought expedited inclusion in major U.S. equity indexes, index providers responded differently. Nasdaq amended its Fast Entry rule to allow newly listed large-cap companies to join the Nasdaq-100 within fifteen trading days of listing; a change that did not exist before this transaction and was adopted specifically to accommodate the listing. S&P Global declined to make an equivalent change to its S&P 500 inclusion criteria. The result is that the same company will be present in some index products and absent from others for an extended period, not because of any difference in the company's underlying characteristics, but because the standards applied by competing index providers are no longer uniform.

The relevance to this rulemaking is structural, not company-specific. Index providers are already operating under divergent eligibility standards in response to commercial and political pressure. The Commission's proposal would layer a second dimension of divergence on top of that: some issuers in a given index will be quarterly filers and some will be semiannual filers, with no standardized disclosure to index-fund investors about which holdings operate under which framework. A retail investor holding an ETF that tracks an index containing both quarterly and semiannual filers has no reliable basis for assessing the currency of the financial information underlying their exposure to each constituent. They are not equipped to investigate the cover page of each holding's most recent Form 10-K to make that determination.

The Commission's disclosure regime is supposed to create a standardized information environment that allows retail investors to participate in public markets on terms that do not require the analytical infrastructure of institutional allocators. When index providers fragment their eligibility standards and the Commission simultaneously fragments its disclosure cadence requirements, the cumulative effect is a public market that is

increasingly legible only to participants with the resources to navigate the divergence. That is not a stronger market. It is a less public one.

The Commission should consider whether the semiannual reporting proposal, in the current index market environment, requires affirmative standardization measures, including prominent, machine-readable disclosure of reporting frequency at the index constituent level, before any rule reducing disclosure uniformity is finalized.

IX. Conclusion

I urge the Commission not to adopt the proposed rule in its current form. If the Commission concludes that some form of reduced-frequency reporting is appropriate, I recommend the following modifications be considered:

First, eligibility for semiannual reporting should be conditioned on the absence of retail investor concentration: For example, limited to issuers with institutional ownership above a defined threshold, or to issuers with market capitalizations above a level consistent with robust analyst coverage.

Second, any earnings releases issued in lieu of Form 10-Q filings by semiannual filers should be required to be filed rather than merely furnished, and should be subject to the same accountant review requirements that currently apply to Form 10-Q interim financial statements.

Third, the Commission should require disclosure in both the election mechanism on Form 10-K and in any investor-facing communication that the company has elected semiannual reporting and that interim financial information will not be subject to mandatory quarterly filing requirements during the applicable fiscal year.

The Commission's mandate includes investor protection. That mandate is not satisfied by characterizing reduced disclosure as flexibility, or by treating voluntary furnished practice as equivalent to mandatory filed obligation. I respectfully ask the Commission to address these concerns before proceeding to a final rule.

Respectfully submitted,

Tracy Ayers, CPA

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